EG Daily Brief: Shaky peace collapses as US resumes blockade

送信者: EG Daily Brief 受信日時: 2026-07-14 21:36

【メール原文】

14 Jul 2026 08:32 EDT

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| US blockade on Iran | Oil prices will rise | Houthi-Saudi outlook | Trump anti-Huawei strategy | Hungary-China relations | Graham’s death | Upcoming conference calls | EG in depth

summary

* US resumption of the Iran blockade will likely cut Hormuz traffic to 5%–15% of pre-war volumes, effectively ending the shaky peace.
* Oil will likely go to the higher end of the $75-$95 per barrel range until a ceasefire is reached.
* A strike on a Houthi delegation’s flight increases the risk of Houthi attacks on Saudi energy infrastructure.
* Hungary's cautious domestic reset gives the EU more room to act on China.
* Regions, countries, and sectors covered in this edition include the US, China, the EU, Hungary, Iran, Israel, Japan, Saudi Arabia, Ukraine, Yemen, geo-technology, and oil.

the top line

The collapse of the shaky peace between the US and Iran will likely lead to a longer disruption of traffic through the Strait of Hormuz, maintaining upward pressure on crude prices. Today we unpack the implications for the outlook for the war, the impact on energy markets, and the risk of escalation between the Houthis and Saudi Arabia. For more on the MENA crisis, register for the conference call at 11 am ET today here .

Iran, MENA Crisis—Traffic through Hormuz will fall as shaky peace collapses

* Following repeated Iranian attacks on ships, US President Donald Trump announced that the US would resume its blockade on Iran. The shaky peace that EG expected would continue through the end of the year, has effectively collapsed.
* Rapid de-escalation appears unlikely, given how both sides have committed to their positions, and depressed Strait of Hormuz traffic is likely to endure through July.

* EG expects traffic to fall from 30-50% of prewar flows to 5-15% until both sides de-escalate.

* The US will maintain its blockade and respond to Iranian attacks on ships, but is unlikely to escalate further. It is unlikely that the US attempts to impose a toll on non-Iranian traffic moving through the strait.
* Iran is unlikely to back down in response to increased US pressure. Iran will continue its attacks on ships while maintaining heavy pressure on Oman and the rest of the Gulf states to accede to its demands for permanent influence in the strait. Iran may escalate against Gulf energy or expand its blockade to include the Red Sea to pressure the US to de-escalate.
* Read more here . Reach out to discuss: MENA@eurasiagroup.net .

MENA Crisis, Oil—Brent prices will likely trade in $75-95 range as US resumes blockade

* While markets have largely absorbed recent attacks on shipping in the Strait of Hormuz, the collapse of the shaky peace means prices are likely to trade at the higher end of a $75-95 per barrel range for Brent as shipping through Hormuz remains disrupted.
* Low fuel inventories will leave markets vulnerable to renewed price spikes if Hormuz remains closed.
* Growing UAE-Saudi competition for market share will add supply later this year if the strait reopens, while Chinese import demand remains low.
* Read more here . Reach out to discuss: MENA@eurasiagroup.net .

MENA Crisis, Saudi Arabia, Yemen—Airport strike raises risk of Houthi actions targeting Saudi energy

* The Houthis blamed Saudi Arabia for a strike on the plane of a Houthi delegation landing from Iran, and threatened retaliation, warning that the current de-escalation phase has ended.
* The strike gives the Houthis a fresh pretext to pressure Saudi leaders for concessions, as the Houthis have spent weeks warning Riyadh they would resume attacks unless they provide additional financial relief to Houthi-controlled areas.
* As the Houthis remain financially and militarily exposed, the most likely outcome is a limited, high-impact signal, like a one-off attack on an energy-linked target, designed to extract payments and political concessions rather than trigger a prolonged war.
* Read more here . Reach out to discuss: MENA@eurasiagroup.net .

Geo-technology, US, China—Trump 2.0 to widen and soften anti-Huawei telecom strategy

* To preserve stability in the bilateral relationship with China, the US is unlikely to resume its pressure campaign to convince countries to ban Huawei 5G and 6G equipment.
* Instead, the US is likely to adopt a softer approach in which it highlights the risks of untrusted providers but doesn’t push for bans; however, it will expand these efforts to cover additional countries and telecoms technologies.
* Restrictions on untrusted providers of telecoms infrastructure supporting AI data center buildouts may become a new area of focus.

* Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Hungary—Magyar's cautious economic reset could advance the EU's China de-risking

* Prime Minister Peter Magyar's government is likely to give the EU an opportunity to advance its China de-risking efforts, as Tisza is unlikely to block stricter EU measures on Chinese investment, provided existing investments are protected.
* Magyar is seeking to diversify Hungary's economic model by ending subsidies for large foreign industrial projects and prioritizing higher value-added sectors, which would lower reliance on Chinese-led EV investment.
* A sharp anti-China pivot is unlikely, given the scale of existing Chinese investment and the jobs tied to EV projects, though Chinese investments will face greater scrutiny and stricter environmental and regulatory requirements.
* Read more here . Reach out to discuss: europe@eurasiagroup.net .

US—Graham's death matters most for Ukraine and Israel

* Senator Lindsey Graham's (R-SC) unexpected death over the weekend will reverberate across the policy landscape, mostly over his relationship with Trump. The most immediate implications are for Ukraine and Israel.

* Graham was a notable proponent of US aid for Ukraine, and his death will remove one of the loudest voices in Trump's ear.
* Graham argued strongly in favor of continued alignment with Israel despite Trump's political differences with Prime Minister Benjamin Netanyahu; his death could widen those differences.

* Graham's seat in South Carolina, which was up for re-election this year, is not at risk absent a monumental Republican collapse nationally—along with the nomination of a candidate toxic to moderate voters.
* Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Upcoming conference calls

* 14 July 8:30 AM ET—EU energy outlook: Electricity costs will fall sharply by 2030. Register here .
* 14 July 11:00 AM ET—MENA crisis update. Register here .
* 15 July 10:00 AM ET—China's growing economic coercion toolkit. Register here .
* 15 July 11:00 AM ET—Brazil update: the fight against organized crime. Register here .
* 21 July 9:00 PM ET—Claude Mythos: cyber power, competition & global risk. Register here .

eg in depth

China—Conference call notes: Assessing the reset of China-US relations and rising China-EU and China-Japan tensions: Chinese officials expect US-China stability through the end of 2028 but anticipate a more hawkish successor to Trump; the one-year trade truce expiring on 10 November is widely expected to be extended, with Beijing pushing for an extension until the end of Trump's presidency. China-EU relations are likely heading toward trade conflict; Chinese officials are dismissive of European grievances, confident in their retaliatory toolkit, and actively pursuing a divide-and-conquer strategy among EU member states. China-Japan relations are in a deep freeze with no off-ramp visible; Beijing is likely to expand rare earth restrictions and entity list designations, and bilateral improvement is not expected until Prime Minister Takaichi Sanae leaves office. Read more here . Reach out to discuss: china@eurasiagroup.net .

Upcoming Events:

* 14 July: Events: Fed Chair Kevin Warsh testifies before the House Financial Services Committee; Data: US CPI.
* 15 July: Events: Fed Chair Kevin Warsh testifies before the Senate Banking Committee, Fed Beige Book; Data: China GDP, retail sales, industrial production, fixed assets investment, Eurozone industrial production, US PPI; Central bank decision: Canada.
* 16 July: Data: UK industrial production, trade balance, US retail sales. Central bank decision: South Korea.
* 17 July: Events: The World Artificial Intelligence Conference is held in Shanghai through 20 July; Data: Eurozone CPI, US housing starts, UMich consumer sentiment, industrial production.

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closing quip

The Hormuz Strait is OPEN, and will remain OPEN, with or without Iran."—Trump posted on Truth Social on Monday morning, announcing the resumption of the US blockade.

Explanation of Political Trajectories (ie, "Trajectories")

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst’s net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.